With US$10 million under management fee, you now get US$100,000 in salary, taking the stress off paying rent and feeding the dog. If you end up making 20% gain, that's US$2 million for your customers of which you'll get US$200,000. All of that with lower trading risk than you would be forced to take if you traded just your own cash. Throw your own money in the pile, and you can make trading gains, or losses, on your own money at the same time.

The management fee is always there, even if you have a bad year. That is not unethical, it actually works in everybody's interest. If a manager has only a performance fee, they will be incentivised to take on high risk in hopes of high pay, and they will have an incentive to simply shut down the shop after a loss, rather than to try to recoup it.

The really nice thing about asset management is how it scales. It's not all that much more work to manage twenty million, compared to ten. But your pay is double. The industry scales well and if you're clever, you can raise substantial amounts without having to add too much cost.

If you look at this from a trading perspective, the risk and reward comparison should be clear to you. By trading for yourself, you take a very high risk for quite a limited upside. In contrast, if you choose to trade other people's money, you take a fairly low risk for a nearly unlimited upside potential. A good trader would make that call in a split second.

Reasons Not to Trade OPM

Looking at just the mathematics, it's hard to find reasons not to go the professional way, and trade other people's money. The numbers are clearly there and it makes for a superior deal, but trading other people's money may not be for everyone. There are a few reasons why it might not suit you.

Some say that they just want to trade, not run a business. That's fine, but it's just an explanation as to why you decided to make a bad trade, in going the solo route. Another common reason is that you don't feel comfortable with risking other people's money. Well, if you're not confident in your trading, you certainly shouldn't risk your own money on it either. A third reason in the same category would be that you don't want to deal with client relationships and sales. Again, that's just a reason for making a bad economic call.

On the more valid side, you might object that you simply don't know any investors and would have no idea how to raise US$10 million. Well, that's